

INDIAN ECONOMY

LEVEL
II



LECTURES

- FIRST FIVE-YEAR PLAN
- SECOND FIVE-YEAR PLAN
- THIRD FIVE-YEAR PLAN

MODULE - 7



PLANNING STRATEGIES ... VARIOUS PERSPECTIVES

VISVESVARAYA'S PLAN

- 1934
- First blueprint of Indian Planning
- Focus on shifting labour from agri to industrial sector.
- Doubling the national income in 10 years.
- Hence, main focus is industrialization.

GANDHIAN PLAN

- 1944
- Emphasis on agriculture
- Emphasis on cottage and village level industries
- Decentralized economic structure with self-contained villages.

BOMBAY PLAN

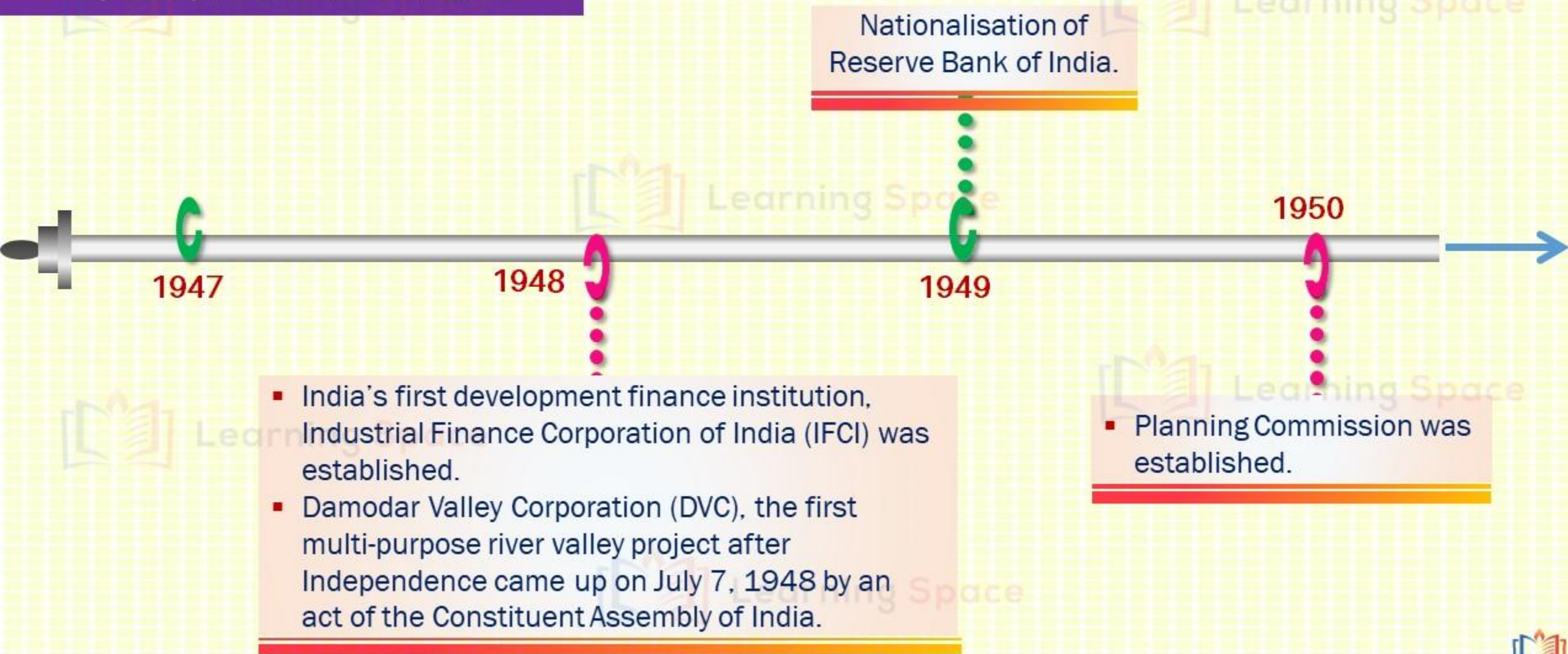
- 1944-45
- Capitalistic features
- Essential Consumer Goods Industries to be in India
- Restructuring of agriculture.
- It also include promotion of Cottage industries and social welfare.

PEOPLE'S PLAN

- This is by M.N. Roy in 1945.
- Socialism is the main theme.
- Focus is on basic necessities of life.
- Equal importance is given to agriculture and industry.

The main difference between Bombay Plan and People's Plan is Bombay Plan has predominantly capitalistic features, and People's Plan revolves around basic necessities of life.

CHRONOLOGY OF EVENTS PRIOR TO FIRST FIVE YEAR PLAN



GDP GROWTH

- Target ... 2.1%
- Actual ... 3.6%



FIRST FIVE-YEAR PLAN (1951-1956)

PREVAILING CIRCUMSTANCES

- Large scale food grains import.
- Pressures of price rise.
- Influx of refugees.
- Heavy dependence on imports and foreign assistance.

These were the precise reasons why the modest overall target of 2.1% was fixed.

Gulzarilal Nanda was the first Vice-Chairman of the Planning Commission. Agriculture & irrigation got the highest priority with the planned expenditure of around 31%.

WHAT WAS THE MODEL ADOPTED?

- It was based on Harrod-Domar model.
- It stresses the importance of savings and investment.
- If the savings rate is 10% and the Capital-Output Ratio is 3, the meaning is that the country can grow at 3.33% per year.
- The strategy behind increasing the growth rates revolves around increasing the savings rate and reducing the Capital-Output Ratio.

GDP GROWTH

- Target ... 2.1%
- Actual ... 3.6%



FIRST FIVE-YEAR PLAN (1951-1956)

ELEMENTS OF SUCCESS

- Growth rate was 3.6% against target at 2.1%.
- Food grain production 66 million tonnes against target at 61 million tonnes.
- Prices came down substantially.
- Many multipurpose irrigation projects were conceived.
- National income grew by 18% and per capita income by 11%.
- Highest priority was given to agriculture, irrigation and power projects.

ELEMENTS OF FAILURE

- Public sector industries were neglected, as only 6% of the allotted fund was spent.
- Increase in the unemployment.
- The plan was assessed against the lower benchmark of 2.1% GDP.

When one looks at the constraints at the time of launch of the First Five Year Plan, it can be considered a success story.

ECONOMIC DEVELOPMENTS

... 1951 - 1956

Damodar Valley Corporation is the first multipurpose river valley project of Independent India and incorporated in 1948.

- Completion of Hirakud Dam.
- Generation of power by Damodar Valley Corporation.
- Nationalisation of Air India.

- ICF Perambur.
- National Small Industries Corporation (NSIC).
- Industrial Credit and Investment Corporation of India (ICICI) at the initiative of World Bank, Gol, Industry Representatives.

1951

1952

1953

1954

1955

- Commencement of First five-year-plan.
- India's first IIT at Kharagpur.

- Community Development Programme.
- Sindri Fertilizers and Chemicals Limited, the first fertilizer factory in India.

- Atomic Energy Establishment, Trombay (AEET) in 1954

- First bucket of concrete for Bhakra Nangal Project.
- Construction of Nagarjuna Sagar Project officially started.
- SBI was nationalised. Initially, RBI acquired 60% stake. Subsequently, Gol acquired RBI stake to remove conflict of interest.

GDP GROWTH

- Target ... 4.5%
- Actual ... 4.3%



PROFESSOR MAHALANOBIS

SECOND FIVE-YEAR PLAN (1956-1961)

PREVAILING CIRCUMSTANCES

- Lack of purchasing power.
- Unavailability of infrastructure.
- Unemployment.

WHAT WERE THE GOALS?

- Socialistic pattern of society through Industrial Policy Resolution of 1956.
- 25% increase in national income through rapid industrialisation.
- Rate of investment planned to be raised from 7% to 11% of national income.
- Focus on basic and heavy industries.

WHAT IS THE MAHALANOBIS MODEL?

- Mahalanobis became the key economist of India's Second Five Year Plan.
- In order to reach a high standard in consumption, investment in building capacity in the production of capital goods is first needed.
- In the long run, high enough capacity in the capital goods sector provide the nation's consumer goods production capacity.
- The plan was basically a top-down industrialisation starting with big industries.

GDP GROWTH

- Target ... 4.5%
- Actual ... 4.3%



PROFESSOR MAHALANOBIS

SECOND FIVE-YEAR PLAN (1956-1961)

ELEMENTS OF SUCCESS

- It gave rise to the concept of state-run **Public Sector Enterprises** based on Russian model of industrialization.
- Several big Public Sector Units in India were either **set up or conceived** during this plan period.

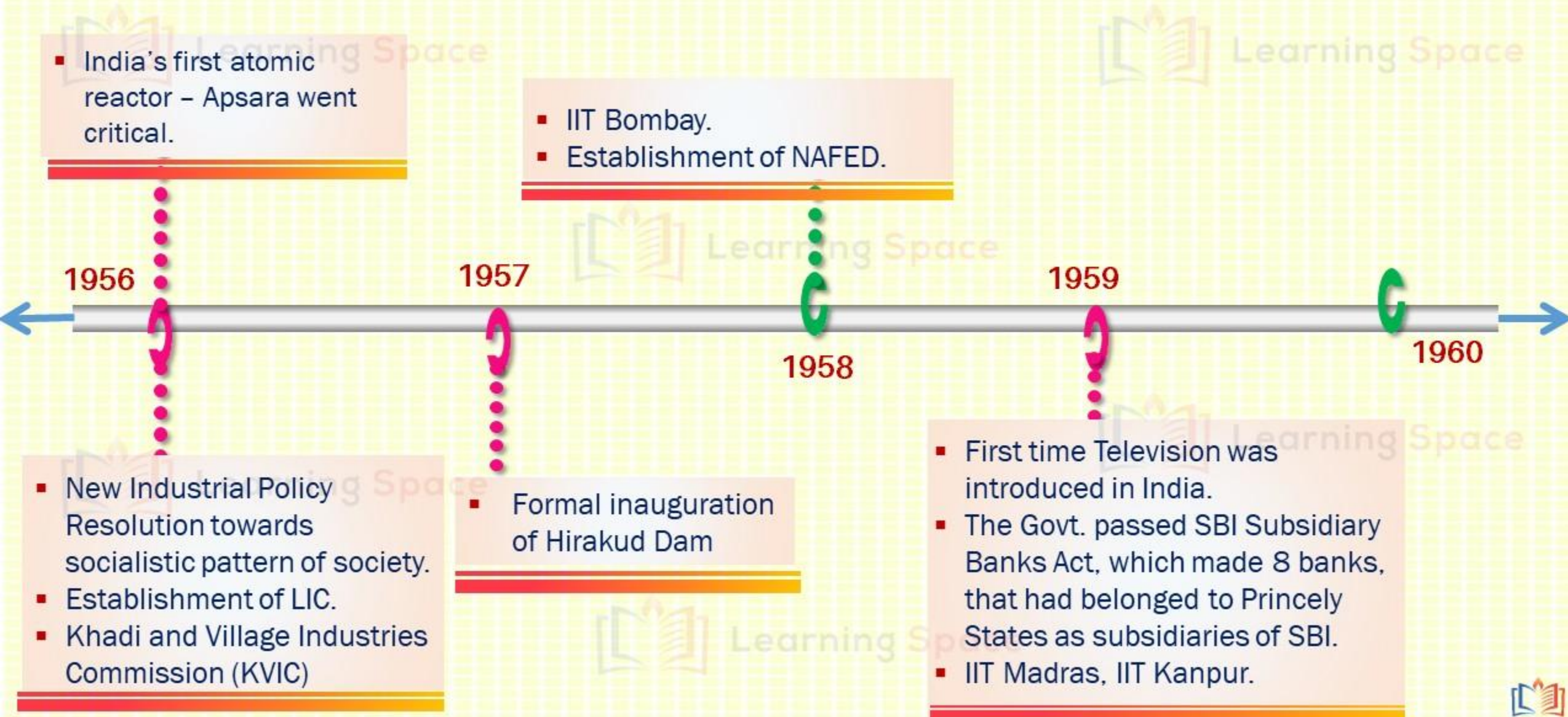


ELEMENTS OF FAILURE

- **Shortages of food and capital** were felt during this plan.
- Due to the shortage of **foreign exchange**, pruning of development targets was done.
- The advocacy of huge imports through foreign loans has not gone down well.

We can say that this plan is moderately successful.

ECONOMIC DEVELOPMENTS ... 1956 - 1961



FIVE YEAR PLANS

GDP GROWTH

- Target ... 5.6%
- Actual ... 2.8%



THIRD FIVE-YEAR PLAN (1961-1966)

PREVAILING CIRCUMSTANCES

- It was felt that Indian Economy entered a **take-off stage**.

KEY FOCUS AREAS

- Its aim was to make India a **'self-reliant'** and **'self-generating'** economy.
- Focus on developing Agriculture was again brought back through this plan.
- It also aims for **balanced regional development**.

SERIES OF INCIDENTS DURING THIRD PLAN

- **China War** – 1962
- Death of Jawaharlal Nehru – 1964.
- **Pakistan War** – 1965
- Death of L.B. Shastri – 1966
- **Major drought** – 1965-66

TWO MAJOR ASPECTS

- Because of the conflicts (Indo-China War) and **India-Pakistan War**, the paradigm is shifted from development to **defence and development**.
- FCI was established in **1965** to store the **imported grains**.

GDP GROWTH

- Target ... 5.6%
- Actual ... 2.8%

THIRD FIVE-YEAR PLAN (1961-1966)



The plan failed miserably as the growth rate achieved was just 2.8% against the target of 5.6%.

THIRD FIVE YEAR PLAN IS AN ABYSMAL FAILURE!

- Dismally failed to meet its targets.
- 2 wars – 1962 war with China and 1965 war with Pakistan and famine in 1965-66 led to diversion of funds.
- The focus during the later phase of the plan was shifted from development to defence & development.
- Increase in inequality in income and wealth.
- The dependence on external assistance reached the highest at 28%, whereas, domestic budgetary resources were at 59%.

ECONOMIC DEVELOPMENTS

... 1961 - 1966

- Mutual fund industry in India was started with the formation of UTI through an Act of Parliament – initially under RBI.
- Agriculture Refinance Development Corporation (ARDC).

- Second India-Pakistan conflict over J&K.
- Integrated Cattle Development Programme.
- Food Corporation of India.
- Commission for Agricultural Costs and Prices (CACP).

1961

1962

1963

1964

1965

- China's perception of India as a threat to its rule of Tibet became one of the most prominent reasons for the Sino-Indian War.

- IDBI established through an Act as a DFI – as a subsidiary of RBI initially.

THREE ANNUAL PLANS (1966-69)

WHY THE NEED WAS FELT FOR THREE ANNUAL PLANS?

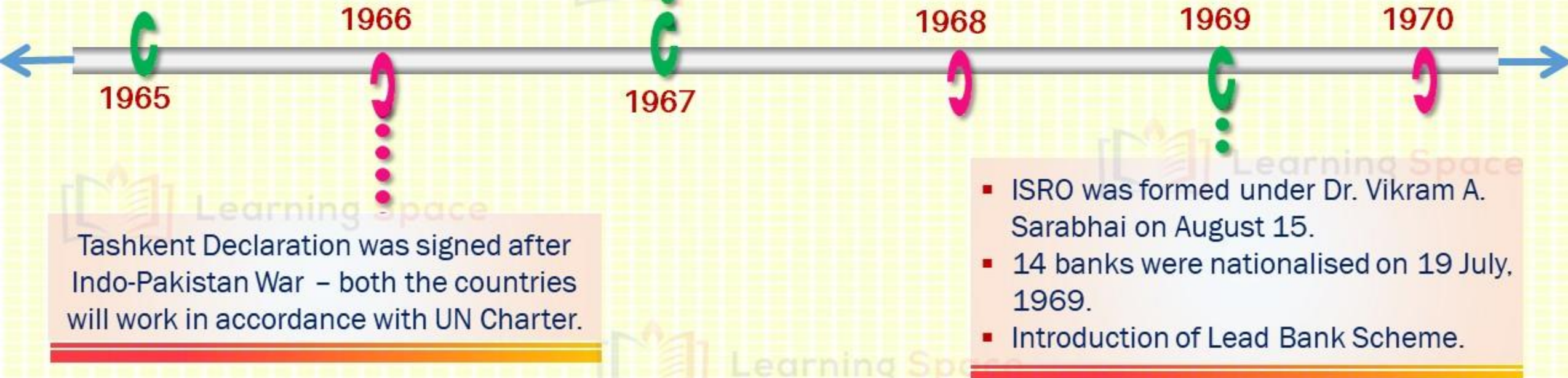
- It was also known as 'Plan Holiday' by some economists (1966-69).
 - There were two wars in 1962 and 1965.
 - There were food shortages.
 - There was high inflation,
 - Miserable failure of third plan.
 - Devaluation of Rupee was done to boost the exports.
- Under the above mentioned circumstances, 4th Plan was postponed.

HOW TO VIEW THESE ANNUAL PLANS?

- All available resources were mobilised to build a buffer stock by stepping up food production.
- Technological breakthrough and favourable monsoons gave huge impetus to the Wheat production during this period.
- It also reduced the inflationary pressure.

ECONOMIC DEVELOPMENTS ... 1966 - 1969

- Start of Green Revolution – lasted till 1978 – mostly benefitted wheat and rice – subsequently India became a food surplus Nation.



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